



A GUIDE TO UNDERSTANDING THE BALANCE BETWEEN RISK AND REWARD

INTRODUCTION

Successful investment is crucial to your future financial wellbeing and has significant potential for increasing your wealth. However, investing is inherently risky. Most investors accept that they need to take some risk in order to have the best chance of achieving their longer-term goals. Therefore, when developing your investment strategy, it is important to understand the reason for making each investment, your capacity to withstand losses over both the short and longer term, and the extent to which you are prepared to risk such losses in return for the gains you might make.

At St. James's Place our approach to investment advice is based around the following key principles:

- Ensure that you have sufficient cash easily available to meet your short-term needs, including allowance for emergencies.
- Take a clear view of the timeframe for which you are able to invest your money.
- Don't overlook the impact that inflation can have on the spending power of your money.
- Spread your investments across a number of different asset classes and investment managers, to reduce the danger of all your investments falling in value at the same time.

In addition, you will stand the greatest chance of investing successfully and achieving your objectives if you can find the very best managers to look after your investments. We believe these are the key things you should consider when deciding how to invest and when making changes to how your money is currently invested.

This document aims to help you to make sensible investment decisions and provides answers to the following important questions:

- What risks do you face when investing?
- What should you consider when choosing how to invest?
- What types of investments can you choose?
- How do you choose investments that are right for you?
- How do you diversify your investments?
- How can we help you choose your investments?

Your Partner will discuss these questions with you, to help you to understand the level of risk you are comfortable taking for a particular investment. You will then be in a position to discuss which funds and investments are most appropriate for you, taking into account your attitude to risk, your capacity to withstand losses, your objectives for the investment you are making and how long you plan to invest for.

WHAT RISKS DO YOU FACE WHEN INVESTING?



These risks mean that it is possible you may not get back the full amount of your investment or the real value of your investment may decline. They exist to varying extents in all investments; but, in some cases, one or more of them may be particularly relevant. For example, fluctuations in value may be more pronounced where a concentrated portfolio is held, or where assets are exposed to different currencies, such as shares of companies that operate in other countries, especially if those countries have less developed economies and stock markets.

Choosing not to invest your money also carries risks – in particular, the spending power of money reduces over time due to the effects of inflation. As a rule of thumb, an inflation rate of 5% each year will, over a period of 10 years, reduce the real value of your money by 40%. The key to successful investment is not to avoid risk entirely, but instead to find an appropriate balance of risk and reward to help you meet your investment objectives.

Risks should be seen in the context of the overall timeframe for the investment. Some investments may pose a high risk in the short term, leading to initial losses which can nevertheless be reversed by longer-term gains. Conversely – short-term, stable growth may be overcome by an exceptionally high period of inflation leading to erosion of the real value of an investment.

WHAT SHOULD YOU CONSIDER WHEN CHOOSING HOW TO INVEST?

Investing for the future could make a critical difference to your financial wellbeing, and as such the choice of where to invest is an important decision. Two factors to bear in mind when deciding how to invest are your capacity to withstand potential drops in the value of your investments, and the time horizon over which you are investing.

Your readiness and capacity to withstand losses

Whilst a reduction in the value of investments is always unwelcome, the impact will only really be felt if you need to access your money whilst values are depressed. In order to meet your investment goals you may need to be prepared to consider investments which may fall in value, in return for the possibility of better growth over the longer term.

Conversely, your investment goals may limit the extent to which you are able to withstand such losses. In particular, you need to consider whether there is a chance you may need to withdraw your investment after there has been a fall in value, meaning you are unable to remain invested to give your investment the opportunity to recover. For example, if you intend to retire in the near future you may be willing to risk a small drop in the value of your investments, but may be unwilling to risk a larger fall which could impact on your standard of living in retirement.

It is quite possible for you to have a different approach to possible losses for different portions of your money. You may also have different objectives and a different anticipated time horizon for those different portions of your money, depending on what it is you are seeking to achieve.

Bearing these things in mind, you should consider where you lie on the following spectrum in terms of your readiness and capacity to withstand losses.



The time horizon for your investment

Once you have decided how much money you need to keep easily available to meet your short-term needs, you will be in a position to consider the period over which you can invest the remainder of your assets. You may have a defined end date in mind, such as retirement at a specific age, or the time at which a child will start university. Alternatively, you may have a less specific time horizon, for example if you are investing for your children's inheritance.

When assessing which funds and investments may best meet your needs, it is important that you consider the effect that your time horizon has on the amount of risk you are willing to take. For example, if you have a medium capacity to withstand losses but a relatively short time horizon, perhaps five years, this will scale back the extent to which you will be willing to accept risk within your investments.

Conversely, if you are able to take a long-term view over 15 years or more, this may increase the amount of risk you are willing to take in the shorter term.

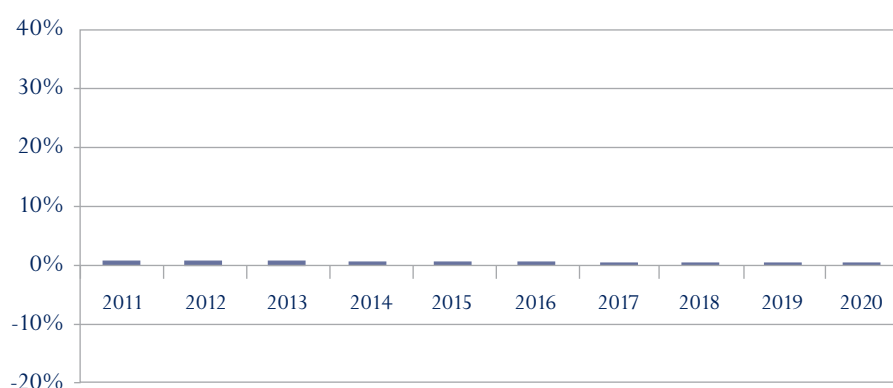
WHAT TYPES OF INVESTMENTS CAN YOU CHOOSE?

Most types of investment can be categorised into one of the classes described below. For each class we have included a graph illustrating the variability of annual returns in the recent past, although this should only be taken as an indication of how returns may vary rather than the likely returns or the maximum possible loss in a year. To assist with comparing the variability of returns between the classes of investment, we have used the same scaling for each graph.

Cash

This includes bank and building society deposits. Other investments such as money market instruments are also often included within this asset class. Although the risk of a fall in value is typically low, interest rates can fall and returns on cash investments are unlikely to keep pace with inflation over the longer term. In times of low interest rates, returns may not be sufficient to cover the charges that are deducted from the investments.

The chart below shows an example of the variation in annual returns for cash investments, based on average returns on deposit accounts for investments of £10,000 or more (Moneyfacts 90 Days' Notice £10,000 Index) over the last 10 calendar years:



*Source: Financial Express.
Past performance is
not indicative of future
performance.
Returns over other periods
will differ, and may be
lower or higher than those
shown above.*

Bonds

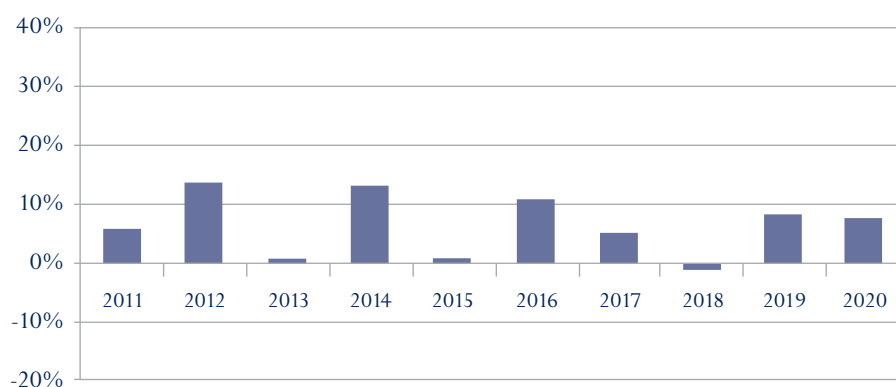
This includes government and corporate bonds. Typically, these investments offer fixed returns over various terms and are used by governments and companies to borrow money from investors. The capital invested is usually returned in full at the end of the term of the bond. However, the capital value and level of income provided by bonds are directly linked to the financial strength and stability of the organisation involved. Bonds tend to provide higher levels of income than cash, but their values will fluctuate more. In particular, they are sensitive to changes in interest rates, inflation rates and investors' views about the security of the government or company borrowing the money. For example, an increase in interest rates or an increase in inflation will usually cause the current market value of bonds to fall, although it will not usually affect the maturity value. Bonds with shorter terms are typically less sensitive to changes in these factors than bonds with longer terms.

Gilts (UK government bonds) are normally the lowest-risk bonds, as the risk that the UK government will default on its obligations to pay interest or repay capital is very low. Indeed, the UK government could, if it wanted to, simply print money to meet its obligations to investors. For corporate bonds there is a greater chance that some of the companies that issue the bonds will fail to make interest or capital payments in future. This would reduce the value of your investments, either due to the company missing payments, or because the value of the bond has fallen when investors believe the security of the company has reduced. 'High yield' bonds carry a higher level of risk than bonds classed as 'investment grade', which have been issued by more financially secure companies.

In general, companies which are financially less strong need to pay investors more by way of an income to compensate for the extra risk that they may, in future, not be able to meet their commitment to pay the income or repay the capital when the bond matures. The income generated by high yield bonds is therefore typically greater than that generated by investment grade corporate bonds, which, in turn, is typically greater than that generated by gilts.

By investing in a range of companies, you are able to dilute the risk of any one company defaulting.

The chart below shows an example of the variation in annual returns for corporate bonds, based on the returns of the Merrill Lynch Sterling Non-Gilts Index (figures have been calculated with income reinvested) over the last 10 calendar years:



Source: Financial Express.

Past performance is not indicative of future performance.

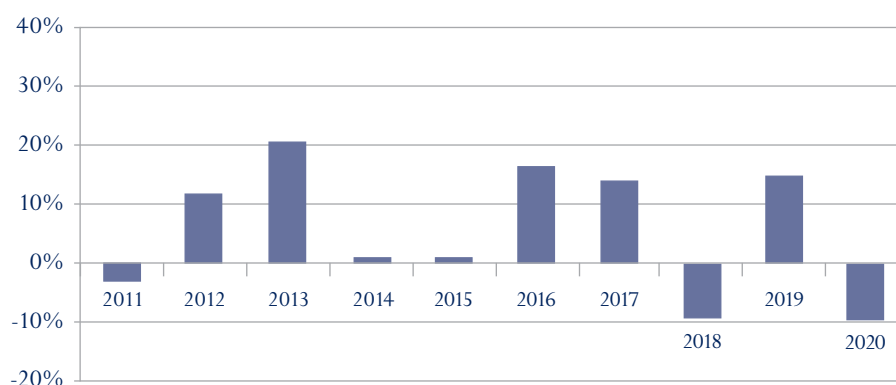
Returns over other periods will differ, and may be lower or higher than those shown above.

Equities

These are shares in the ownership of companies, with the value of a company's shares being directly linked to its success and profitability. The value of investments in equities will usually fluctuate more than the value of investments in bonds, but historically equities have provided higher returns over the medium to long term. However, it is important to remember that these returns are not guaranteed and there have been periods when equities have fallen significantly in value.

Some types of equities are riskier than others. For example, shares in companies in less-developed economies, often called 'emerging markets', tend to fluctuate in value more than shares in companies in developed economies such as the United Kingdom.

The chart below shows an example of the variation in annual returns for UK equity investments, based on the returns of the FTSE All-Share Index* (figures have been calculated with income reinvested) over the last 10 calendar years:



Source: Financial Express.

Past performance is not indicative of future performance.

Returns over other periods will differ, and may be lower or higher than those shown above.

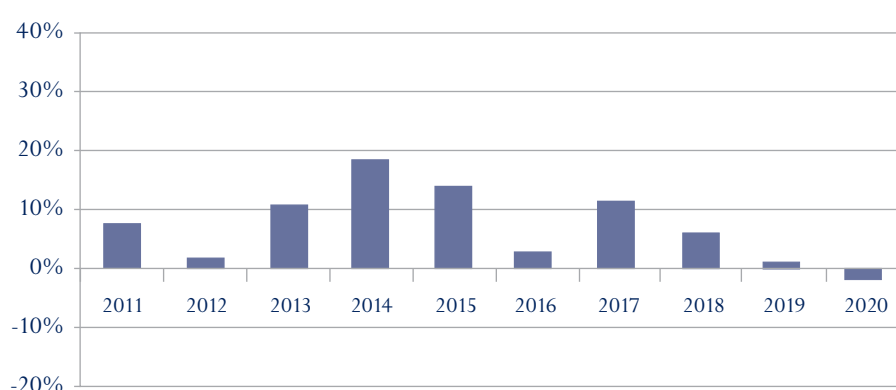
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Commercial property

An investment into a diversified portfolio of commercial property will tend to fluctuate in value less than an investment in equities, but can still fall sharply from time to time. The value of property is generally a matter of a valuer's opinion until the property is sold. Also, commercial property cannot always be readily sold, so investors may not be able to access their capital quickly.

Property tends to generate a higher level of income than cash, making it an attractive investment over the long term for investors seeking income.

The chart below shows an example of the variation in annual returns for investments in commercial property, based on the returns of the MSCI UK Quarterly Index (figures have been calculated with income reinvested) over the last 10 calendar years:



Source: Financial Express.

Past performance is not indicative of future performance.

Returns over other periods will differ, and may be lower or higher than those shown above.

Alternative investments

Assets which do not fall into any of the previous categories are often referred to as 'alternative investments'. These include commodities such as gold, oil and timber. For most investors, such assets would form only a small proportion of their overall investments.

Some funds also invest in derivatives. These are contracts, issued by investment banks, whose values change depending on the value of underlying assets such as equities, bonds, commodities or currencies. Derivatives can be used either to increase a fund's exposure to certain assets or with the aim of reducing the volatility of returns.

Derivatives carry the risk that the institution from which a derivative has been bought might fail to meet its obligations when they are due, which would impact the value of the investment.

Source: MSCI. MSCI makes no express or implied warranties or representations and shall have no liability whatsoever with respect to any MSCI data contained herein. The MSCI data may not be further redistributed or used as a basis for other indices or any securities or financial products. This report is not approved, endorsed, reviewed or produced by MSCI. None of the MSCI data is intended to constitute investment advice or a recommendation to make (or refrain from making) any kind of investment decision and may not be relied on as such.

HOW DO YOU CHOOSE INVESTMENTS THAT ARE RIGHT FOR YOU?

We understand that your attitude towards risk is something that you may find difficult to determine. The amount of risk you are prepared to accept is likely to vary over time and may be different for each investment you make, depending on the purpose of the investment. There is a broad spectrum of different approaches, as described below. You may find it helpful to consider where your views lie along this spectrum, both in terms of which of the following approaches is the best match, and where your views position you on the overall risk spectrum:

LOW RISK

You are a very cautious investor. You prioritise investment products of low uncertainty on risk or incline to minimize investment loss; and/or are equipped with limited/no knowledge and/or experience in financial investment.

LOWER-MEDIUM RISK

You are a cautious investor. You are equipped with some knowledge and/or experience in financial investment; and/or are willing to take modest risk for the potential to achieve returns better than bank deposits.

MEDIUM RISK

You are equipped with the related investment knowledge and/or experience; are willing to accept commensurable price fluctuation and take a certain degree of risk so as to achieve returns in comparison with the major stock market indexes; and possess good financial capability to deal with the loss incurred from financial investment.

UPPER-MEDIUM RISK

You are equipped with the related investment knowledge and/or experience; are willing to accept relatively higher price fluctuation and take relatively higher risk so as to achieve returns better than the major stock market indexes; and possess solid financial capability to deal with the loss incurred from financial investment.

HIGH RISK

You demonstrate a strong preference, knowledge and / or experience for high-risk, complex or leveraged products; and/or possess substantial financial capability to deal with the loss incurred from financial investment.

What if you are not able or prepared to withstand any fall in the value of your investment?

If you do not have enough other assets to withstand any fall in the value of your investment or the income from it, or are simply not prepared to accept the risk that this might happen, perhaps because you can only invest for a short period of time, you should consider very low-risk investments such as those from National Savings and Investments (NS&I). You should, however, be aware that the real value of your investment is likely to be eroded by the effects of inflation over the longer term.

What about riskier investments?

If you are a very experienced investor looking for the highest possible returns over the long term, you may be willing to accept a significant chance of total loss of capital. If this describes your risk attitude, you may prefer to invest in individual shares or other, more esoteric, types of investment.

These investments often carry risks such as not being able to access your money when you want it, and may be difficult to value accurately. They are also often poorly understood. They include assets such as traded life policies, unsecured loans to unlisted companies and off-plan property, particularly overseas. Remember that riskier investments do not always provide greater returns, and you could lose some or all of your money. Some riskier investments are structured as hedge funds or unregulated collective investment schemes, which are typically only suitable for clients with direct professional experience in this area.

HOW DO YOU DIVERSIFY YOUR INVESTMENTS?

Once you have decided the time horizon and level of risk that are appropriate for the investment you are making, you will also want to reduce the chance that all your investments might go down in value at the same time. You can do this by diversifying your investments; for example by investing in a fund which holds shares or bonds from lots of different companies rather than a single company. You can diversify further by holding shares and bonds in companies that operate in a range of industries or countries, and by holding different types of investment such as shares, bonds and property. You can also choose funds whose managers have contrasting investment styles, so are likely to react differently to changes in market conditions.

FUND RANGE

St. James's Place offers a range of funds through its products, which enables you to spread your investments across a wide range of asset types and countries, and to choose fund managers with different styles to diversify your investments. Investing in our funds will help you to diversify your investments whilst benefiting from the expertise of professional fund managers. We have assessed the risks for our funds, so you can choose your own selection of funds with a level of risk that is appropriate to you.

You should discuss your selection carefully with your St. James's Place Partner and ensure that you include a diverse spread of funds, including different asset classes, to avoid increasing the risk you are taking by concentrating your investment in a small number of funds.

If you choose to invest in a St. James's Place product, the full range of St. James's Place funds is set out below, colour coded to indicate their relative levels of risk. The special risk factors are explained opposite; these highlight the most significant risks faced by each fund.

Risk	Funds	Special Risk Factors									
LOWER MEDIUM	Conservative Growth	A	B		D			G		I	
	Conservative International Growth	A	B		D			G		I	
MEDIUM	Balanced Growth	A	B		D			G	H	I	
	Balanced International Growth	A	B		D			G	H	I	
UPPER MEDIUM	Adventurous Growth	A	B					G	H	I	
	Adventurous International Growth	A	B					G	H	I	



LOW	Money Market GBP			C							
	Money Market USD			C							
LOWER MEDIUM	Corporate Bond		B		D					I	
MEDIUM	Strategic Managed	A	B		D						
	Managed Growth	A	B		D						
	International Equity	A	B				F				
	Global	A	B						H		
UPPER MEDIUM	North American	A	B				F				
	Asia Pacific	A	B						H		



Please note that the range of funds set out above is purely for the purposes of explaining the risks associated with the funds and you should obtain further details, including more information about risk factors, from the funds' Prospectus and Key Facts Statements. Please speak to your St. James's Place Partner for further advice about these funds and investments, and their suitability for you.

Investment involves risk. The value of an investment with St. James's Place will be directly linked to the funds selected and may fall as well as rise. You may get back less than the amount invested.

This advertisement has not been reviewed by the Securities and Futures Commission in Hong Kong.

SPECIAL RISK FACTORS

The particular risks of each fund depend on the type of assets in which it invests. These particular risks include:

A – Equity risk

This fund invests in equities. The value of equities can rise and fall quite sharply at times. Returns are not guaranteed and, whilst equities have tended to outperform over the long term, there have been periods when equities have fallen significantly in value over the short term.

B – Currency risk

This fund holds investments in currencies other than the fund's pricing currency, so the value of the fund may rise and fall due to fluctuations in exchange rates.

C – Low interest rates: risk to income

This fund invests in deposits and money market instruments. The return on these assets will be low in periods when interest rates are low.

D – Bond risks

This fund holds bonds issued by companies and governments. There is a chance that some of the companies or governments that issued these bonds will fail to make interest or capital payments, or other investors may believe the security of the government or company has declined, both of which would reduce the value of your investments. The values of bonds are also sensitive to changes in interest rates; for example, an increase in interest rates will usually cause a fall in the value of an investment in bonds.

E – Liquidity risk

This fund invests mainly in assets which can be difficult to sell at short notice, so you may not be able to sell or switch out of this investment when you want – we may have to delay acting on your instructions. The value of these types of assets (e.g. land, buildings, private equity or private credit) is generally a matter of a valuer's opinion until they are sold, as they are not traded on public markets.

F – Concentrated portfolio

This fund holds a limited number of assets, typically fewer than 40 stocks. As such, its value is likely to fluctuate more than a widely diversified fund.

G – Commodities

This fund invests in commodities such as gold, oil and timber. The prices of commodities are influenced by demand, which is driven by global economic growth, and the scarcity of supply of various natural resources. These global influences, and the fact that natural resources are controlled by many different countries and governments, often cause commodities to fluctuate in value more than equities.

H – Emerging markets

This fund holds investments in less developed economies and invests in less mature stock markets, so its value may fluctuate more than a fund which invests in developed economies.

I – Derivatives

This fund invests in derivatives. A derivative is a contract whose value changes depending on the value of an underlying asset. The fund buys derivatives from other institutions; if one of these institutions fails to meet its obligations when they fall due, this would impact the value of the fund. Leverage risk occurs when the use of derivatives means that the fund could be exposed to a greater loss than the initial investment. In addition, derivatives are bought from other institutions; if one of these institutions fails to meet its obligations when they fall due, this could impact the value of the fund. This is known as ‘counterparty risk’.

J – Smaller companies

This fund invests in smaller companies so its value may fluctuate more than that of a fund which invests in larger companies based on their market capitalisation. Market conditions, such as a decrease in market liquidity, may mean it is not easy to buy or sell the companies.

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